

# Cambridge International AS & A Level

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## ECONOMICS

Paper 3 A Level Multiple Choice (Advanced)

**Practice Paper Advanced**

**1 hour 15 minutes**

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You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

### INSTRUCTIONS

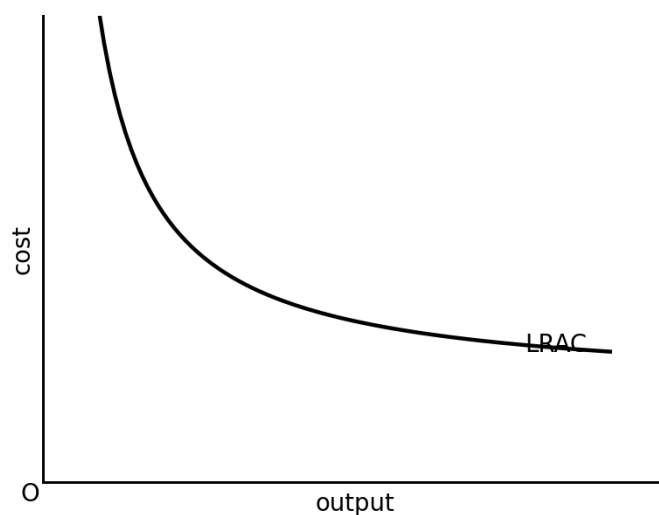
- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

### INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

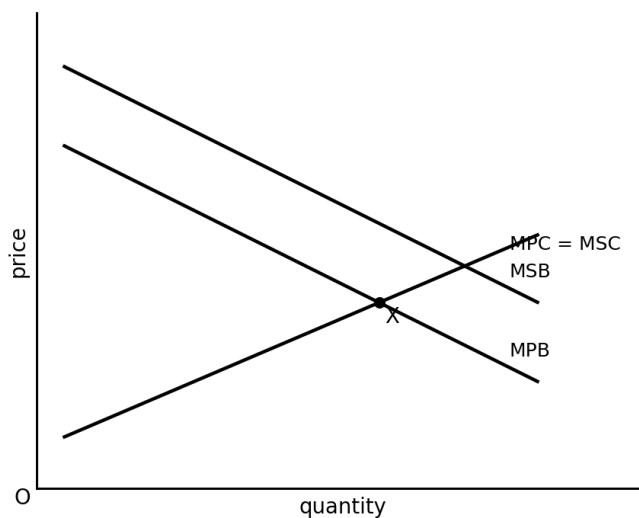
*Difficulty Level: Advanced*

- 1 A consumer finds that the marginal utility per dollar spent on good X is greater than the marginal utility per dollar spent on good Y. To maximise total utility, the consumer should:
- A buy more of X and less of Y until  $MU/P$  is equal for both
  - B buy more of Y and less of X
  - C continue with the current consumption pattern
  - D purchase equal quantities of X and Y
- 2 A consumer's money income rises while the prices of goods X and Y are unchanged. The budget line will:
- A shift inwards parallel to the original line
  - B pivot inwards around the y-axis intercept
  - C shift outwards parallel to the original line
  - D pivot outwards around the x-axis intercept
- 3 The diagram shows a firm's long-run average cost (LRAC) curve. The shape of the curve indicates that, as the firm doubles all factor inputs, output:



- A less than doubles, indicating diminishing returns
  - B more than doubles, indicating increasing returns to scale
  - C exactly doubles, indicating constant returns to scale
  - D falls, indicating decreasing returns to scale
- 4 A chemical factory emits smoke that harms nearby residents. Which intervention is most likely to restore allocative efficiency?
- A a complete ban on chemical production
  - B a subsidy paid to the factory equal to its marginal cost
  - C a tax equal to the marginal external cost of pollution
  - D a fixed-price agreement with downstream firms
- 5 A market has six firms with the following market shares: 30%, 25%, 20%, 10%, 10%, 5%. What is the four-firm concentration ratio?
- A 65%
  - B 75%
  - C 85%
  - D 95%

- 6 A revenue-maximising oligopolist (rather than profit-maximising) will choose output where:
- A  $MR = MC$
  - B  $MR = 0$
  - C  $AR = AC$
  - D  $AC$  is at its minimum
- 7 For third-degree price discrimination to be profitable, the demand in the two markets must have:
- A the same price elasticity of demand
  - B different price elasticities of demand
  - C identical income elasticities of demand
  - D unit price elasticity in both
- 8 The diagram shows a market with a positive consumption externality, where  $MPC = MSC$ . The free-market equilibrium is at point X. At this point:



- A price = MSC and quantity is too high
  - B price < MSB and quantity is too low
  - C price > MSB and quantity is too high
  - D price = MSB and quantity is socially optimal
- 9 Two firms face a one-shot prisoner's dilemma over whether to keep prices high or cut them. Which statement is correct?
- A Both firms always co-operate at the highest joint profit.
  - B The Nash equilibrium yields higher joint profit than cooperation.
  - C Each firm's dominant strategy may lead to a worse outcome than cooperation.
  - D Neither firm has a dominant strategy.
- 10 A bank acquires another bank operating in a different country. This is best described as:
- A horizontal integration
  - B vertical backward integration
  - C vertical forward integration
  - D conglomerate integration

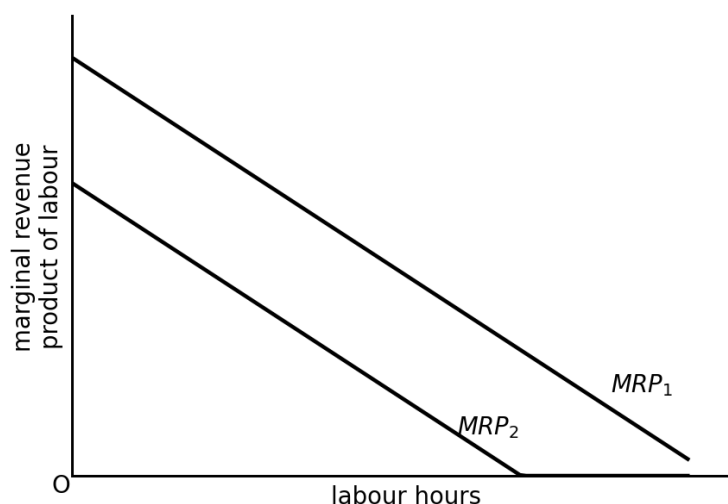
**11** A tax exactly equal to the marginal external cost is imposed in a market with negative production externalities. The most likely outcome is that:

- A market output rises above the social optimum
- B the market price falls below the social optimum
- C allocative efficiency is restored
- D government tax revenue falls to zero

**12** In a monopsonistic labour market, a minimum wage set between the monopsony wage and the marginal revenue product of the last worker hired will:

- A raise employment and raise the wage
- B lower employment and raise the wage
- C lower both employment and wages
- D leave employment unchanged

**13** The diagram shows a downward shift in a firm's MRP of labour curve from  $MRP_1$  to  $MRP_2$ . Which change is most likely to have caused this shift?



- A a rise in the price of the final product
- B a rise in the marginal product of labour
- C a fall in the marginal product of labour
- D a fall in the wage rate

**14** A firm operates in a perfectly competitive product market but in a monopsonistic labour market. It will hire labour up to the point where:

- A wage = MRP
- B marginal cost of labour = MRP
- C marginal cost of labour = average revenue
- D wage = average revenue

**15** Which policy is most likely to reduce income inequality sustainably in the long run?

- A increasing cash transfers to low-income households
- B universal investment in education and skills
- C raising the national minimum wage above the equilibrium
- D reducing inheritance tax to encourage saving

**16** The quantity theory of money ( $MV = PY$ ) suggests that, holding  $V$  and  $Y$  constant, a rise in the money supply  $M$  will cause:

- A** a proportional rise in the price level  $P$
- B** a fall in the price level  $P$
- C** an immediate rise in real output  $Y$
- D** no change in the price level

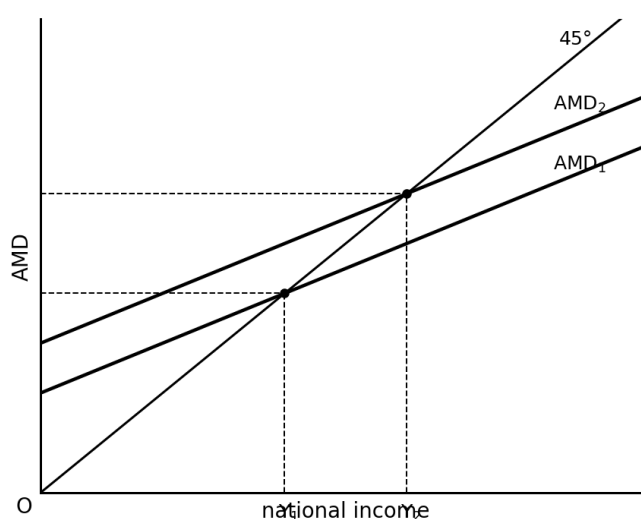
**17** Hysteresis in the labour market refers to:

- A** the seasonal nature of certain industries
- B** cyclical unemployment that becomes structural over time
- C** wage stickiness during economic recessions
- D** the search costs faced by unemployed workers

**18** A country's real GDP rises by 2% while real GDP per capita falls by 1%. This implies that:

- A** productivity has fallen by 1%
- B** population has grown faster than real GDP
- C** inflation has risen by 3%
- D** unemployment has risen by 1%

**19** The diagram shows an autonomous shift in aggregate monetary demand from  $AMD_1$  to  $AMD_2$ , causing equilibrium national income to move from  $Y_1$  to  $Y_2$ . If autonomous investment rose by \$100m to cause this shift, the rise in equilibrium national income will be:



- A** zero
- B** less than \$100m
- C** exactly \$100m
- D** a multiple of \$100m, depending on the multiplier

**20** Discretionary fiscal policy differs from automatic stabilisers in that discretionary policy:

- A** operates without explicit government intervention
- B** requires deliberate policy decisions
- C** has shorter implementation lags
- D** is always more effective

- 21** A government raises taxes and cuts spending to achieve a budget surplus. Which other macro-economic objective is most likely to be compromised in the short run?
- A** lower inflation
  - B** a stable exchange rate
  - C** higher economic growth
  - D** a lower government debt-to-GDP ratio
- 22** A tax has a constant marginal rate that is equal to its average rate. This tax is:
- A** progressive
  - B** regressive
  - C** proportional
  - D** specific (per unit)
- 23** The expectations-augmented Phillips curve implies that, in the long run:
- A** there is a permanent trade-off between inflation and unemployment
  - B** the Phillips curve is vertical at the natural rate of unemployment
  - C** inflation and unemployment always rise together
  - D** expectations have no influence on inflation
- 24** Country A and Country B have the same Gini coefficient but different levels of real GDP per capita. What can be concluded?
- A** Both have the same level of absolute poverty.
  - B** Both countries have identical income distributions.
  - C** They have similar relative income inequality but different average incomes.
  - D** Their levels of human development must be identical.
- 25** Under a fixed exchange rate system, a government reduces the official value of its currency. This is an example of:
- A** expenditure-reducing policy
  - B** expenditure-switching policy
  - C** contractionary monetary policy
  - D** supply-side policy
- 26** A UK company purchases shares in a US firm worth 10 million pounds. How is this recorded in the UK balance of payments?
- A** as a credit on the current account
  - B** as a debit on the current account
  - C** as a credit on the financial account
  - D** as a debit on the financial account
- 27** The Marshall-Lerner condition for a currency depreciation to improve the current account requires that:
- A** the sum of the price elasticities of demand for exports and imports exceeds 1
  - B** the sum of the price elasticities is less than 1
  - C** the price elasticity of demand for exports is zero
  - D** the exchange rate is fixed by the central bank

- 28** Foreign direct investment improves the host country's balance of payments least when the foreign firm:
- A** exports most of its output
  - B** employs mainly local labour
  - C** repatriates most of its profits to the home country
  - D** uses local raw materials
- 29** A government cuts the top rate of income tax and simultaneously increases means-tested benefits. The effect on the Lorenz curve is:
- A** the curve definitely shifts away from the line of equality
  - B** the curve definitely shifts toward the line of equality
  - C** the effect on the curve is ambiguous
  - D** the curve will not move at all
- 30** Trade creation following the formation of a customs union occurs when:
- A** a high-cost domestic producer is replaced by a lower-cost partner-country producer
  - B** a low-cost non-partner producer is replaced by a higher-cost partner
  - C** external tariffs are raised on all imports
  - D** the customs union is later dissolved